

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE BILL NO. 4040

By: Caldwell (Trey) and Kane of
the House

and

Hall and Haste of the
Senate

9 COMMITTEE SUBSTITUTE

10 An Act relating to the State Department of Health;
11 creating the Oklahoma Rural Health Transformation
12 Program; stating purpose; designating the State
13 Department of Health as lead agency; allowing for the
14 Department to partner with other agencies; creating
15 reporting requirements; creating the Oklahoma Rural
16 Health Transformation Revolving Fund; establishing
17 fund at the State Department of Health; deeming the
18 funds appropriated; providing expenditure and
19 budgeting requirements and limitations; requiring a
20 minimum balance in the fund at the end of the
21 project; allowing for use of memoranda of
22 understanding; limiting scope of such memoranda;
23 providing for codification; and declaring an
24 emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 3321 of Title 63, unless there
is created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Oklahoma Rural
Health Transformation (ORHT) Program".

1 SECTION 2. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 3321.1 of Title 63, unless there
3 is created a duplication in numbering, reads as follows:

4 The purpose of this act is to ensure the oversight of federal
5 funds received by the State Department of Health, and other partner
6 agencies, through the Rural Health Transformation (RHT) Program,
7 created in Public Law No. 119-21.

8 SECTION 3. NEW LAW A new section of law to be codified
9 in the Oklahoma Statutes as Section 3321.2 of Title 63, unless there
10 is created a duplication in numbering, reads as follows:

11 A. The State Department of Health shall act as the lead agency
12 for Oklahoma in administering the Rural Health Transformation (RHT)
13 Program. The Department shall interface with the federal government
14 on behalf of the State of Oklahoma, and other state agencies, in the
15 disbursement of funds, and reporting requirements to the federal
16 government.

17 B. As the lead agency, the State Department of Health shall
18 provide a yearly report on the progress of the expenditures,
19 programs, and outcomes that were listed in the application to the
20 Centers for Medicare and Medicaid Services (CMS), as well as any
21 changes that have been adopted, along with the reasons for such
22 changes. Said report shall be submitted annually, no later than
23 January 31 throughout the life of the program. Such reports shall
24 be submitted to the Governor, the Speaker of the Oklahoma House of

1 Representatives, the President Pro Tempore of the Oklahoma State
2 Senate, the Appropriations and Budget Chair of the Oklahoma House of
3 Representatives, the Appropriations Chair of the Oklahoma State
4 Senate, and the relevant subcommittee chairs for each chamber.
5 Additionally, the Department shall publish such reports on its
6 website.

7 C. No less than quarterly, the Department shall publish on its
8 website progress reports for all projects, including the expenditure
9 of funds for each project as of the latest completed calendar
10 quarter.

11 SECTION 4. NEW LAW A new section of law to be codified
12 in the Oklahoma Statutes as Section 3321.3 of Title 63, unless there
13 is created a duplication in numbering, reads as follows:

14 A. There is hereby created in the State Treasury a revolving
15 fund for the State Department of Health to be designated the
16 "Oklahoma Rural Health Transformation Revolving Fund (ORHT Revolving
17 Fund)". The fund shall be a continuing fund, not subject to fiscal
18 year limitations, and shall consist of all monies appropriated to
19 the State Department of Health for the benefit of cash-flowing the
20 Rural Health Transformation (RHT) Program overseen by the Centers
21 for Medicare and Medicaid Services (CMS). All monies accruing to
22 the credit of said fund are hereby appropriated and may be budgeted
23 and expended by the State Department of Health for the purpose of
24 funding programs and projects approved by CMS for the RHT Program.

1 Expenditures from said fund shall be made upon warrants issued by
2 the State Treasurer against claims filed as prescribed by law with
3 the Director of the Office of Management and Enterprise Services for
4 approval and payment.

5 B. The State Department of Health may enter into memoranda of
6 understanding with partner agencies for the expenditure of funds
7 from the ORHT Revolving Fund. Such expenditures are limited to
8 those necessary to complete projects and programs under the RHT
9 Program.

10 C. At the end of the Rural Health Transformation (RHT) Program,
11 there shall remain a balance in the fund equal to the amount
12 transferred in Section 74 of Enrolled Senate Bill No. 1177 of the
13 2nd Session of the 60th Oklahoma Legislature.

14 SECTION 5. It being immediately necessary for the preservation
15 of the public peace, health or safety, an emergency is hereby
16 declared to exist, by reason whereof this act shall take effect and
17 be in full force from and after its passage and approval.

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19 COMMITTEE REPORT BY: COMMITTEE ON JOINT COMMITTEE ON APPROPRIATIONS
20 AND BUDGET, dated 04/13/2026 - DO PASS, As Amended.

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